

****The U.S. Authority Strikes at Algorithm Factories****

Intervention by Guido Scorza, member of the Authority for the protection of personal data
(AgendaDigitale, January 10, 2024)

In a statement published on its official website on January 9, the Federal Trade Commission, the Authority in the United States responsible for protecting privacy, markets, and consumers, issues a very stern warning to American algorithm factories. "There are no exemptions for those producing artificial intelligence regarding the rules of the game, starting with those concerning privacy, transparency, and competition," writes the FTC.

Data, starting with personal data, plays a central role in the artificial intelligence industry and market, but this centrality should be a reason for concern, perhaps even more so but certainly not less than the importance of complying with the law.

In particular, the concern voiced in the American Authority's statement relates to the risk that companies specializing in AI exploit, among other things, the personal data of users of services provided by third parties but based on the artificial intelligences in question without giving any notice to these latter or, in any case, without having a valid legal basis to proceed in this manner.

This time, it is not the European Authorities calling the American artificial intelligence industry to order, but the very strict and feared Federal Trade Commission. In short, it is no longer the Europe of privacy and fundamental rights against the America of markets and innovation.

The concerns, on both sides of the ocean, are shared, perhaps confirming that the current situation is beginning to appear universally unsustainable and that there is no regulator or public decision-maker in the world who does not feel a strong sense of concern about what is happening. And indeed, the situation is becoming increasingly unsustainable both legally and democratically.

The framework, summarized in essential terms, is this: fundamental rights, starting with the right to privacy (but copyright is no less important) of billions of people are being trawled and massively exploited by a handful of corporations and, in this way, transformed into commercial and technological assets to be valued in global markets and, as if that were not enough, then exploited to deprive business opportunities from many who produced or generated that data, that information, and that content or, in any case, to whom the personal data belong. But the statement from the Federal Trade Commission is important especially for the warning it sends to those who, until now, may have unlawfully processed personal data to train their algorithms.

The consequence, in fact, according to the American Authority, could not only be of a sanctioning nature but could extend to an order for the deletion of all data collected so far and, above all, of absolute unusability of the artificial intelligence models developed thanks to the potentially unlawful processing of personal data.

It is a consequence capable, in the abstract, of setting back the clock of the global artificial intelligence industry by several years, in front of which the temporary suspension order of personal data processing previously issued by the Italian Privacy Authority against OpenAI pales.

Amidst so many uncertainties, there is one certainty that emerges strengthened from the FTC's statement: the AI industry and market are extraordinarily fragile because their foundations, represented by the training of algorithms, are based on legal assumptions that have never been validated in their robustness either in Europe or in the USA, with the consequence that the entire structure could collapse at any moment.

Putting order in the rules and clarifying the rules of the game so as to rely on an adequate measure of legal certainty, at this point in the game, should be a priority for everyone.